

# 10. CONTRACT TERMS AND THEIR INTERPRETATION

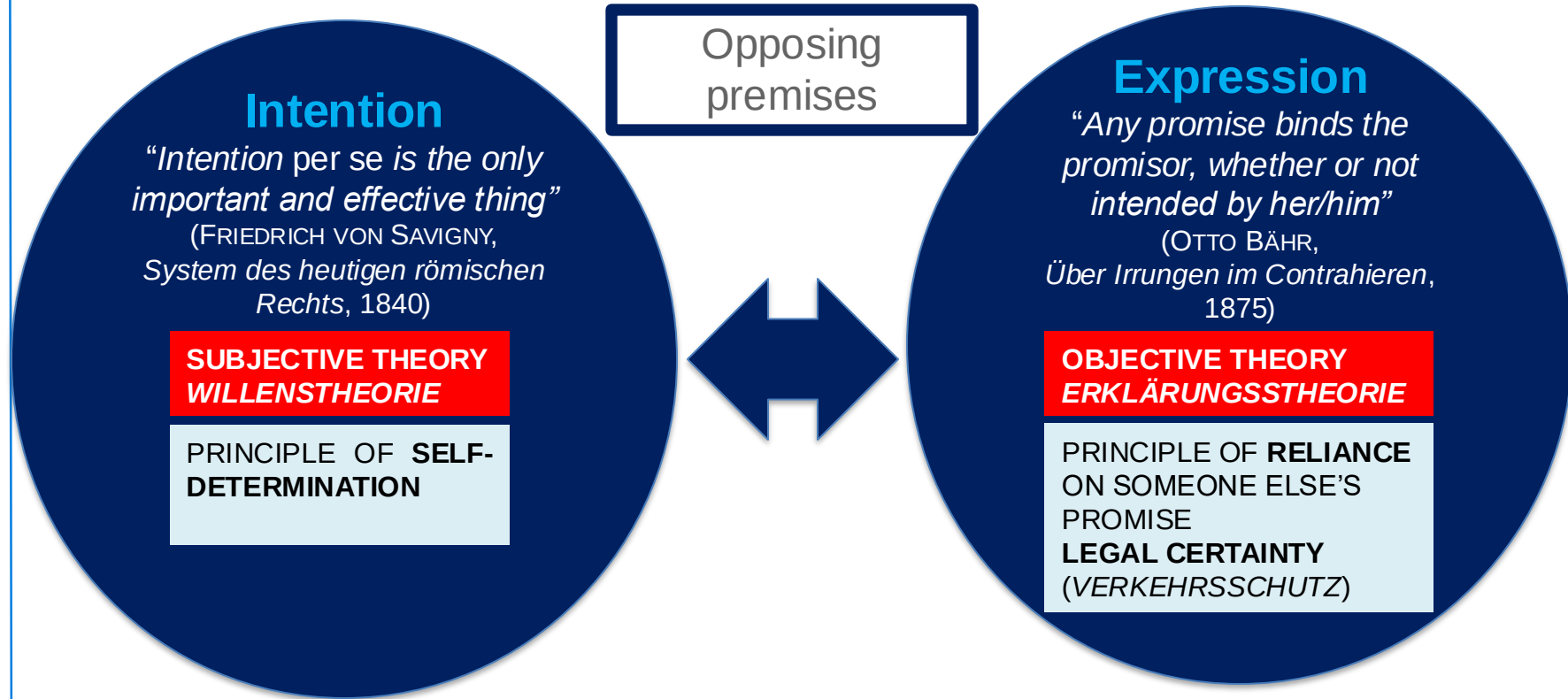
INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

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# CONSTRUING A CONTRACT



# CONSTRUING A CONTRACT

## SUBJECTIVE TEST

It aims to ascertain the parties' subjective understandings and is therefore based solely on the inner intention of their communications or conduct



## OBJECTIVE TEST

It aims to ascertain the objective assessment of an external, detached observer and is therefore based solely on the outspoken meaning of the parties' communications or conduct

# CONSTRUING A CONTRACT

## *Wood v Capita Insurance Service* [2017] UKSC 24

- Capita Insurance Service (**Capita**) entered into an agreement (**SPA**) with Mr Wood, the respondent, for the sale and purchase of the entire issued share capital of Sureterm Direct Limited (**SDL**), a company which primarily offers motor insurance for classic cars
- Shortly after Capita's purchase of SDL's share capital, employees of SDL raised concerns about SDL's sale processes. A company review revealed that in many cases SDL's telephone operators had misled customers to make a sale. Capita and SDL informed the competent authority (ie, the Financial Services Authority) of the findings and Capita and SDL agreed to pay compensation to customers affected by the mis-selling.

## Wood v Capita

### INDEMNITY CLAUSE

The SPA included an **indemnity clause** which required Mr Wood, the seller, to indemnify Capita, the buyer if a specific event occurred



The application of the indemnity clause was disputed

“the Sellers undertake to pay to the Buyer an amount equal to the amount which would be required to indemnify the Buyer [...] against all actions, proceedings, losses, claims, damages [...] suffered or incurred, and all fines, compensation or remedial action or payments imposed on or required to be made by the Company [SLD] [...] arising out of claims or complaints registered with the Financial Service Authority (FSA) [...] against the Company, the Sellers or any Relevant Person and which relate to the period prior to the Completion Date pertaining to any mis-selling or suspected mis-selling of any insurance or insurance related product or service”

## *Wood v Capita*

Capita brought a claim against Mr Wood under the indemnity clause of the SPA, but the respondent argued that it did not apply to the case at hand because there was no claim or complaint by the Company's customers to the FSA or to another public authority

The Supreme Court unanimously dismissed Capita's appeal



Capita's suggested construction is unlikely for two reasons. Firstly, the suggestion that only the "fines, compensation or remedial action or payments imposed on the Company" had to arise out of complaints made to the FSA against SLD would not restrict the scope of the warranty in any way. The source of loss and damage in the rest of the clause would remain unlimited. Secondly, it would have the effect that the clause would fail to specify against whom the relevant actions, proceedings and claims in the remainder of the clause could be made. There must be a limit on who such persons could be as it would be absurd for Capita to have a claim against the Sellers for indemnity resulting from any mis-selling on its part before the Completion Date.

# CONSTRUING A CONTRACT

*Wood v Capita*

## General Principles:

- The court must ascertain the objective meaning of the contractual language
- The court must consider the contract as a whole and, depending on the nature, formality and quality of its drafting, give more or less weight to elements of the wider context in reaching its view as to that objective meaning
- Where there are rival meanings, the court can reach a view as to which construction is more consistent with business common sense
- However, in striking a balance between the indications given by the language and the practical implications of competing constructions, the court must consider the quality of the drafting of the clause
- Textualism and contextualism are not conflicting paradigms in a battle for the exclusive occupation of the field of contractual interpretation

# CONSTRUING A CONTRACT

## CIVIL LAW JURISDICTIONS

are generally keen to strike a balance between the objective and the subjective test

## COMMON LAW JURISDICTIONS

are generally keen to acknowledge solely an objective test, albeit variously moulded



# COMMON LAW

*«Interpretation is the ascertainment of the meaning which the document would convey to a reasonable person **having all the background knowledge which would reasonably have been available to the parties in the situation in which they were at the time of the contract**»*

Lord Hoffmann  
in  
*Investors Compensation Scheme Ltd v West Bromwich Building Society*  
[1998] 1 WLR 896 at 912

# COMMON LAW

«The court's task is to ascertain *the objective meaning of the language which the parties have chosen to express their agreement*»

Lord Hodge JSC  
in  
*Wood v Capita Insurance Services Ltd*  
[2017] UKSC

# COMMON LAW

«If detailed semantic and syntactical analysis of words in a commercial contract is going to lead to a conclusion that flouts business commonsense, **it must be made to yield to business commonsense**»

Lord Diplock  
in  
*Antaios v Salen Rederierna A.B.*  
[1985] AC 191 at 201

# COMMON LAW

*«If the words have a clear meaning I cannot look at extrinsic matters to give them a different meaning... If the words have not a clear and definite meaning in themselves, then I can look at the surrounding circumstances in which the agreement was made and give them a meaning from those circumstances provided I do not stretch the language of the words used»*

*Oates v Romano (1950) 84 ILTR 161*

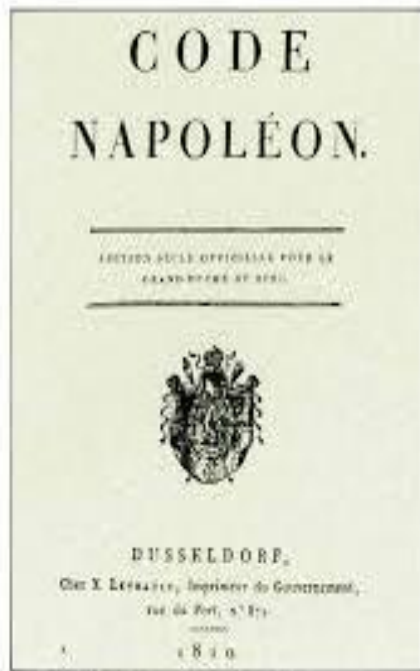
# CIVIL LAW



§ 133 of the German Civil Code  
*Interpretation of a promise*

In interpreting a promise, the effective intent shall be investigated, whilst the literary meaning of its expression is not binding

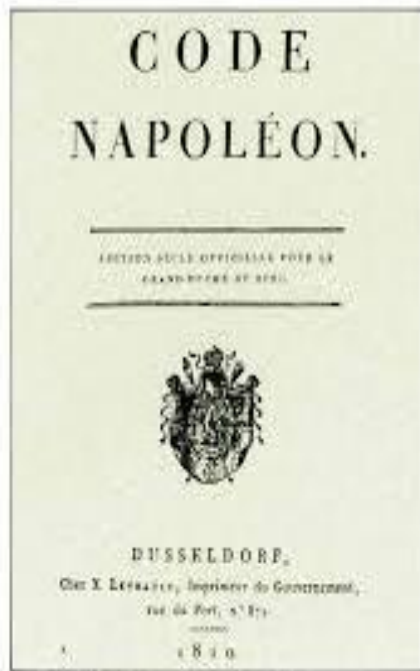
# CIVIL LAW



## Art. 1188 of the French Civil Code (as amended in 2016)

1. A contract is to be interpreted according to the common intention of the parties rather than stopping at the literal meaning of its terms

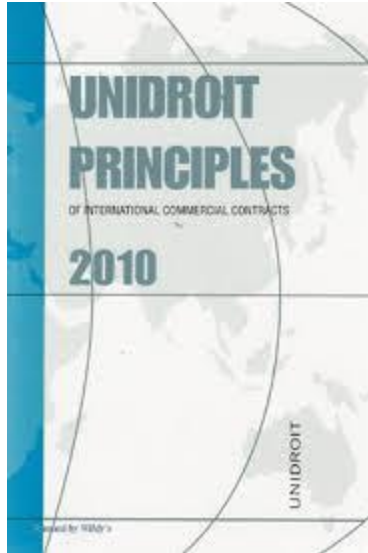
# CIVIL LAW



## Art. 1188 of the French Civil Code (as amended in 2016)

2. Where this intention cannot be discerned, a contract is to be interpreted in the sense which a reasonable person placed in the same situation would give to it

# PICC



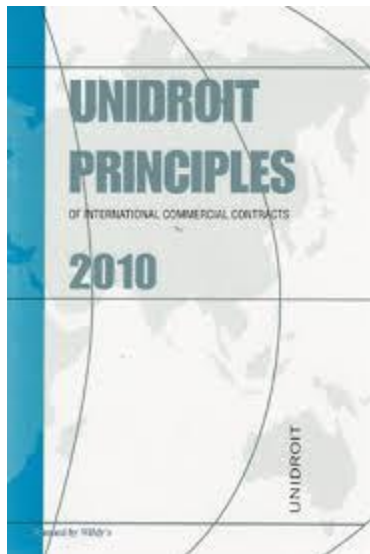
## Art. 4.1 of the PICC

A contract shall be interpreted according to the common intention of the parties.

If such an intention cannot be established, the contract shall be interpreted according to the meaning that reasonable persons of the same kind as the parties would give to it in the same circumstances



# PICC

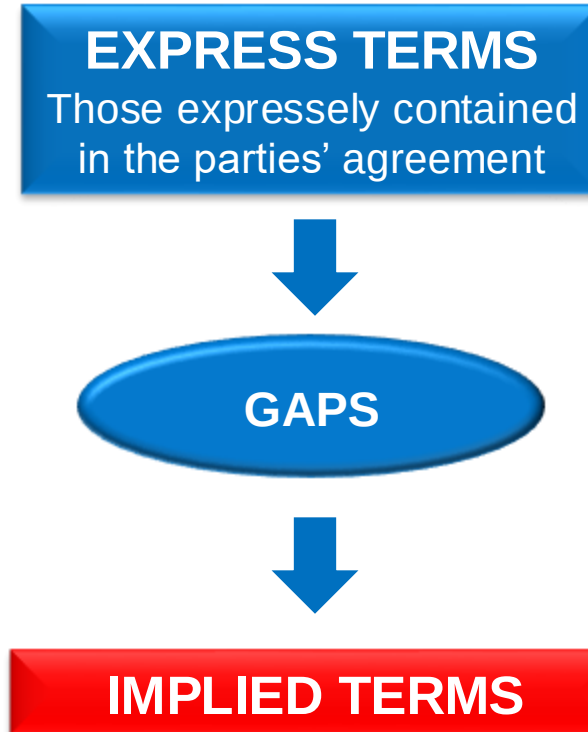


## Art. 4.2 of the PICC

The statements and other conduct of a party shall be interpreted according to the party's intention if the other party knew or could not have been unaware of that intention.

If the preceding paragraph is not applicable, such statements and other conduct shall be interpreted according to the meaning that a reasonable person of the same kind as the other party would give to it in the same circumstance.

# EXPRESS/IMPLIED TERMS



# IMPLIED TERMS IN CIVIL LAW

- The parties' will cannot generally set out all contractual rights and obligations under the contract
- Parties only discuss those elements of the contract which they deem to be essential (e.g. price and time of delivery of the items sold)
- Often, parties do not clarify what happen if one party does not perform the contract



Most contract law consists in '**default rules**' (or **rules of thumb**), which are per se applicable, unless the parties have agreed otherwise

# IMPLIED TERMS IN CIVIL LAW

## CONTRACT LAW PROVIDED FOR BY CIVIL AND COMMERCIAL CODES (AND ADDITIONAL STATUTES)

### GENERAL PART

a body of norms applicable to  
any given contract,  
notwithstanding its type

### SPECIAL PART

additional sets of norms  
particularly applicable to specific  
and most relevant types of  
contract



they often consist of default rules  
serving as gap-fillers for  
contracts

**TERMS IMPLIED BY LAW**



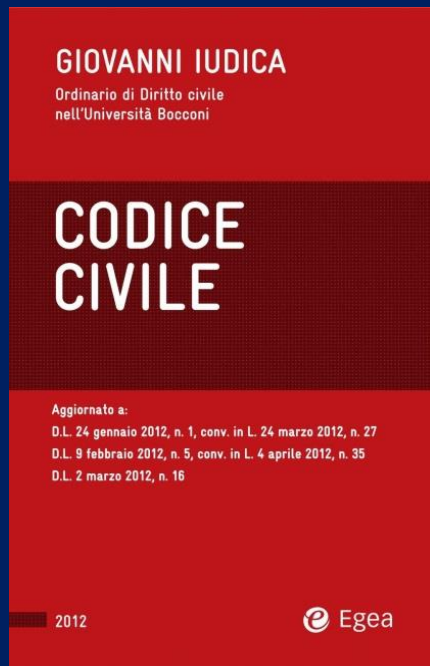
# IMPLIED TERMS IN CIVIL LAW

## SOME TRADITIONAL SPECIAL CONTRACTS

- SALE (*emptio-venditio*)
- LEASE (*locatio-conductio*)
- LOAN (*mutuum*)
- DEPOSIT (*depositum*)



# IMPLIED TERMS - CIVIL LAW



## Art. 1510 *Place of delivery*

**Lacking an agreement or usage to the contrary,** a chattel shall be delivered at the place where it was located at the time of its sale, if the party knew of that place, or otherwise at the place where the seller had his domicile or where her/his enterprise was headquartered.

## THE *CONTRA PROFERENTEM* RULE

This principle means that if there is uncertainty in a written contract, it **must be interpreted against the person who drafted it**

The rule is not only found in national civil codes only, but it is also laid down in the **European Directive 93/13 on Unfair Terms in Consumer Contracts**

Art. 5 (2) of the Directive states that in case of contracts where all or certain terms offered to the consumer are in writing, these terms must always be drafted in plain, intelligible language. **If there is doubt as to the meaning of a term, the interpretation most favourable to the consumer shall prevail**



# COMMON LAW JURISDICTIONS

## CLASSIFICATION OF SPECIAL CONTRACTS PLAYS A MINOR ROLE (if any)

**implied terms are only rarely provided for by statutes  
and mostly derived through the correct interpretation  
of the agreement between the parties**



# IMPLIED TERMS IN COMMON LAW

1. OBVIOUS, REGULAR AND CUSTOMARY TERMS
2. TERMS NECESSARY TO GIVE THE CONTRACT «BUSINESS EFFICACY»
3. TERMS IMPLIED AT COMMON LAW
4. TERMS IMPLIED BY STATUTE

